GLOBANT S.A. - Q1 2026 Press Release

GlobantInvestors OVERVIEW NEWS EVENTS QUARTERLY EARNINGS STOCK DATA SEC FILINGS ESG ANNUAL REPORT FAQS Subscribe to news and events GlobantInvestors Globant Reports 2026 First Quarter Financial Results LUXEMBOURG, May 14, 2026 /PRNewswire/ -- Globant (NYSE: GLOB) today announced results for the three months ended March 31, 2026. "Globant's mission is to reinvent how technology is created, and today we are leading one of the most significant pivots in our history toward AI-native tech services as the market shifts from experimentation to deep AI implementation. Our AI Pods are the engine of this transformation, with ARR reaching $32.8 million as of March 2026. We are moving beyond the traditional 'seats' model by becoming the AI-native partner that collapses the boundary between software and services, redefining what it means to be a professional services firm in the AI era," explained Mart n Migoya, Globant's CEO and co-founder. "We have begun the year with a focus on stability and execution, seeing the early benefits of our pivot toward AI-integrated delivery. Our first-quarter revenue exceeded the high end of our guidance, bolstered by the growth of our top clients. By driving Revenue Per Head to company record levels, we are proving we can deliver higher value with greater efficiency. Furthermore, we demonstrated strong financial health by generating $36.1 million in free cash flow. Having successfully completed our previous share repurchase program during Q2, we are pleased to announce a new $125 million plan to continue returning value to our shareholders. As we look ahead, we remain focused on maintaining this discipline to capture the opportunities in our pipeline," explained Juan Urthiague, Globant's CFO. Please see highlights below. Note that reconciliations between IFRS and Non-IFRS financial measures are disclosed at the end of this press release. First Quarter 2026 Financial Highlights Revenues were $607.1 million, exceeding the company's guidance and representing 0.7% year-over-year decline. IFRS Gross Profit Margin was 34.5% compared to 34.9% in the first quarter of 2025. Non-IFRS Adjusted Gross Profit Margin was 37.0% compared to 38.0% in the first quarter of 2025. IFRS Profit from Operations Margin was 8.5% compared to 8.2% in the first quarter of 2025. Non-IFRS Adjusted Profit from Operations Margin was 14.1% compared to 14.8% in the first quarter of 2025. IFRS Diluted EPS was $0.85 compared to $0.68 in the first quarter of 2025. Non-IFRS Adjusted Diluted EPS was $1.50 compared to $1.50 in the first quarter of 2025. Other Financial Highlights as of and for the quarter ended March 31, 2026 Cash and cash equivalents and Short-term investments were $200.5 million as of March 31, 2026. The Company invested $50.0 million during the first quarter under its share repurchase program. As of March 31, 2026, the Company had $25.0 million remaining for repurchase under its share repurchase authorization. Globant completed the first quarter of 2026 with 28,510 Globers, 26,702 of whom were technology, design and innovation professionals. The geographic revenue breakdown for the first quarter of 2026 was as follows: 53.5% from North America (top country: US), 20.5% from Latin America (top country: Argentina), 19.7% from Europe (top country: Spain) and 6.3% from New Markets[1] (top country: Saudi Arabia). Globant's top customer, top five customers and top ten customers for the first quarter of 2026 represented 8.9%, 21.1% and 30.5% of revenues, respectively. During the twelve months ended March 31, 2026, Globant served a total of 943 customers (with revenues over $100,000 in the last twelve months), with 333 accounts generating more than $1 million of annual revenues, compared to 341 for the same period one year ago. In terms of currencies, 64.5% of Globant's revenues for the first quarter of 2026 were denominated in US dollars. 2026 Second Quarter and Full Year Outlook Based on current market conditions, Globant is providing the following estimates for the second quarter and the full year of 2026: Second quarter 2026 Revenues are estimated to be in the range of $610 million to $616 million, representing a 0.7% year-over-year decline to 0.3% year-over-year increase. This outlook includes a positive FX impact of 100 basis points. Second quarter 2026 Non-IFRS Adjusted Profit from Operations Margin is estimated to be in the range of 14.0% to 15.0%. Second quarter 2026 Non-IFRS Adjusted Diluted EPS is estimated to be in the range of 1.45 to 1.55 (assuming an average of 43.6 million diluted shares outstanding during the second quarter). Fiscal year 2026 Revenues are estimated to be in the range of $2,462 million to $2,508 million, implying 0.3% to 2.2% year-over-year revenue growth. This expected growth includes a positive FX impact of 100 basis points. Fiscal year 2026 Non-IFRS Adjusted Profit from Operations Margin is estimated to be in the range of 14.0% to 15.0%. Fiscal year 2026 Non-IFRS Adjusted Diluted EPS is estimated to be in the range of $6.10 to $6.50 (assuming an average of 44.1 million diluted shares outstanding during 2026). Shareholder Letter, Conference Call and Webcast A shareholder letter will be available in the Investor Relations section of Globant's website. Martin Migoya, Chief Executive Officer and co-founder, Diego T rtara, Chief Technology Officer, Juan Urthiague, Chief Financial Officer, and Fernando Matzkin, Chief Revenue Officer, will discuss the results in a video conference call and a live Q&A session beginning today at 4:30 pm ET. Video conference call access information is: https://more.globant.com/F1Q26EarningsCall Webcast http://investors.globant.com/ [1] Represents Asia, Oceania and the Middle East. About Globant (NYSE:GLOB) At Globant, we help organizations thrive in a digital and AI-powered future. Our industry-focused solutions combine technology and creativity to accelerate enterprise transformation and design experiences customers demand. Through digital reinvention, our subscription-based AI Pods, and Globant Enterprise AI platform, we turn challenges into measurable business results and promised savings into real impact. We have more than 28,500 employees and we are present in more than 30 countries across 5 continents working for companies like Google, Electronic Arts and Santander, among others. We were named a Worldwide Leader in CX Improvement by IDC MarketScape report. We were also featured as a business case study at Harvard, MIT and Stanford. We are a member of the Cybersecurity Tech Accord. For more information, please visit www.globant.com Non-IFRS Financial Measures While the financial figures included in this press release have been computed in accordance with IFRS Accounting Standards as issued by the International Accounting Standards Board ("IASB"), this announcement does not contain sufficient information to constitute an interim financial report as defined in International Accounting Standards 34, "Interim Financial Reporting" or a financial statement as defined by International Accounting Standards 1 "Presentation of Financial Statements". The financial information in this press release has not been audited. Globant provides non-IFRS financial measures in addition to reported IFRS results prepared in accordance with IFRS Accounting Standards. Management believes these measures help illustrate underlying trends in the company's business and uses the non-IFRS financial measures to establish budgets and operational goals, communicated internally and externally, for managing the company's business and evaluating its performance. The company anticipates that

it will continue to report both IFRS and certain non-IFRS financial measures in its financial results, including non-IFRS measures that exclude share-based compensation expense, depreciation and amortization, acquisition-related charges, business optimization costs, and the related effect on income taxes of the pre-tax adjustments. Because the company's non-IFRS financial measures are not calculated according to IFRS, these measures are not comparable to IFRS and may not necessarily be comparable to similarly described non-IFRS measures reported by other companies within the company's industry. Consequently, Globant's non-IFRS financial measures should not be evaluated in isolation or supplant comparable IFRS measures, but, rather, should be considered together with its condensed interim consolidated statements of financial position as of March 31, 2026 and December 31, 2025 and its condensed interim consolidated statements of comprehensive income for the three months ended March 31, 2026 and 2025, prepared in accordance with International Accounting Standard ("IAS") 34, "Interim Financial Reporting". Globant is not providing a quantitative reconciliation of forward-looking Non-IFRS Adjusted Profit from Operations Margin or Non-IFRS Adjusted Diluted EPS to the most directly comparable IFRS measure because it is unable to predict with reasonable certainty the ultimate outcome of certain significant items without unreasonable effort. These items include, but are not limited to, share-based compensation expense, acquisition-related charges, and the tax effect of non-IFRS adjustments. These items are uncertain, depend on various factors, and could have a material impact on IFRS reported results for the guidance period. Forward Looking Statements In addition to historical information, this release contains "forward-looking statements" within the meaning of the Private Securities Litigation Reform Act of 1995. In some cases, you can identify forward-looking statements by terminology such as "believe," "may," "will," "estimate," "continue," "anticipate," "intend," "should," "plan," "expect," "predict," "potential," or the negative of these terms or other similar expressions. These statements include, but are not limited to, statements regarding our future financial and operating performance, including our outlook and guidance, and our strategies, priorities and business plans. Our expectations and beliefs regarding these matters may not materialize, and actual results in future periods are subject to risks and uncertainties that could cause actual results to differ materially from those projected. Factors that could impact our actual results include: our ability to maintain current resource utilization rates and productivity levels; our ability to manage attrition and attract and retain highly-skilled IT professionals; our ability to accurately price our client contracts; our ability to achieve our anticipated growth; our ability to effectively manage our rapid growth; our ability to retain our senior management team and other key employees; our ability to continue to innovate and remain at the forefront of emerging technologies and related market trends; our ability to retain our business relationships and client contracts; our ability to manage the impact of global adverse economic conditions; our ability to manage uncertainty concerning the instability in the current economic, political and social environment in Latin America; and other factors discussed under the heading "Risk Factors" in our most recent Form 20-F filed with the U.S. Securities and Exchange Commission and any other risk factors we include in subsequent reports on Form 6-K. Because of these uncertainties, you should not make any investment decisions based on our estimates and forward-looking statements. Except as required by law, we undertake no obligation to publicly update any forward-looking statements for any reason after the date of this press release whether as a result of new information, future events or otherwise. Globant S.A. Condensed Interim Consolidated Statements of Comprehensive Income (In thousands of U.S. dollars, except per share amounts, unaudited) Three months ended March 31, 2026 March 31, 2025 Revenues 607,085 611,085 Cost of revenues (397,604) (397,855) Gross profit 209,481 213,230 Selling, general and administrative expenses (158,406) (161,695) Net impairment losses on financial assets (794) (1,679) Other operating income and expenses, net 1,391 Profit from operations 51,672 49,856 Finance income 1,822 945 Finance expense (9,432) (9,627) Other financial results, net 1,760 1,100 Financial results, net (5,850) (7,582) Share of results of investment in associates (65) (17) Other income and expenses, net 4,917 (3,271) Profit before income tax 50,674 38,986 Income tax (11,904) (8,491) Net income for the period 38,770 30,495 Other comprehensive income, net of income tax effects Items that may be reclassified subsequently to profit and loss: - Exchange differences on translating foreign operations (5,643) 29,089 - Remeasurement on defined benefit plan 196 - Gains and losses on cash flow hedges (3,616) 10,158 Total comprehensive income for the period 29,707 69,742 Net income attributable to: Owners of the Company 36,979 30,635 Non-controlling interest 1,791 (140) Net income for the period 38,770 30,495 Total comprehensive income for the period attributable to: Owners of the Company 29,047 67,724 Non-controlling interest 660 2,018 Total comprehensive income for the period 29,707 69,742 Earnings per share Basic 0.86 0.70 Diluted 0.85 0.68 Weighted average of outstanding shares (in thousands) Basic 43,076 44,057 Diluted 43,352 45,182 Globant S.A. Condensed Interim Consolidated Statements of Financial Position as of March 31, 2026 and December 31, 2025 (In thousands of U.S. dollars, unaudited) March 31, 2026 December 31, 2025 ASSETS Current assets Cash and cash equivalents 195,293 243,742 Investments 5,244 6,594 Trade receivables 605,760 577,673 Other assets 32,826 35,117 Other receivables 76,316 84,405 Other financial assets 5,899 6,226 Total current assets 921,338 953,757 Non-current assets Investments 2,578 2,489 Other assets 4,138 4,424 Other receivables 60,586 49,496 Deferred tax assets 93,607 91,065 Investment in associates 1,039 1,727 Other financial assets 29,930 29,930 Property and equipment 132,655 137,331 Intangible assets 328,163 345,951 Right-of-use assets 93,321 100,542 Goodwill 1,598,230 1,601,523 Total non-current assets 2,344,247 2,364,478 TOTAL ASSETS 3,265,585 3,318,235 LIABILITIES Current liabilities Trade payables 112,668 112,590 Payroll and social security taxes payable 190,665 203,395 Borrowings 19,503 19,666 Other financial liabilities 119,472 169,605 Lease liabilities 28,499 28,511 Tax liabilities 21,385 33,205 Income tax payable 12,468 10,730 Other liabilities 2,207 2,591 Total current liabilities 506,867 580,293 Non-current liabilities Trade payables 7,692 3,684 Borrowings 342,268 347,040 Other financial liabilities 88,121 90,499 Lease liabilities 72,400 78,428 Deferred tax liabilities 27,299 30,906 Income tax payable 6,429 1,428 Payroll and social security taxes payable 2,341 2,358 Contingent liabilities 21,277 21,963 Total non-current liabilities 567,827 576,306 TOTAL LIABILITIES 1,074,694 1,156,599 Capital and reserves Issued capital 51,914 52,604 Additional paid-in capital 1,168,217 1,167,979 Other reserves (100,653) (92,721) Retained earnings 1,002,718 965,739 Total equity attributable to owners of the Company 2,122,196 2,093,601 Non-controlling interests 68,695 68,035 Total equity 2,190,891 2,161,636 TOTAL EQUITY AND LIABILITIES 3,265,585 3,318,235 Globant S.A. Selected Cash Flow Data (In thousands of U.S. dollars, unaudited) Three Months Ended March 31,

2026 March 31, 2025 Net Income for the period 38,770 30,495 Non-cash adjustments, taxes and others 75,930 73,625 Changes in working capital (60,262) (88,429) Cash flows from operating activities 54,438 15,691 Capital expenditures (18,372) (21,405) Cash flows from investing activities (31,014) (26,489) Cash flows from financing activities (71,862) (16,980) Net increase/decrease in cash & cash equivalents (48,438) (27,778) Globant S.A. Supplemental Non-IFRS Financial Information (In thousands of U.S. dollars, unaudited) Three Months Ended March 31, 2026 March 31, 2025 Reconciliation of adjusted gross profit Gross profit 209,481 213,230 Depreciation and amortization expense 11,589 11,156 Share-based compensation expense - Equity settled 3,306 7,690 Adjusted gross profit 224,376 232,076 Adjusted gross profit margin 37.0 % 38.0 % Reconciliation of selling, general and administrative expenses Selling, general and administrative expenses (158,406) (161,695) Depreciation and amortization expense 26,544 29,655 Share-based compensation expense - Equity settled 14,894 13,385 Acquisition-related charges (a) 4,417 6,567 Adjusted selling, general and administrative expenses (112,551) (112,088) Adjusted selling, general and administrative expenses as % of revenues (18.5) % (18.3) % Reconciliation of adjusted profit from operations Profit from operations 51,672 49,856 Share-based compensation expense - Equity settled 18,200 21,075 Acquisition-related charges (a) 15,552 19,605 Adjusted profit from operations 85,424 90,536 Adjusted profit from operations margin 14.1 % 14.8 % Reconciliation of net income for the period Net income for the period 36,979 30,635 Share-based compensation expense - Equity settled 18,186 21,019 Acquisition-related charges (a) 18,343 27,957 Tax effect of non-IFRS adjustments (8,347) (11,776) Adjusted net income 65,161 67,835 Adjusted net income margin 10.7 % 11.1 % Calculation of adjusted diluted EPS Adjusted net income 65,161 67,835 Diluted shares 43,352 45,182 Adjusted diluted EPS 1.50 1.50 Acquisition-related charges include, when applicable, amortization of purchased intangible assets, interest charges on acquisition-related indebtedness, external deal costs, acquisition-related retention bonuses, integration costs, changes in the fair value of contingent consideration liabilities, and other acquisition-related costs. We cannot provide acquisition-related charges on a forward-looking basis without unreasonable effort as such charges may fluctuate based on the timing, size, and complexity of future acquisitions as well as other uncertainty inherent in mergers and acquisitions. Globant S.A. Schedule of Supplemental Information (unaudited) Metrics Q1 2025 Q2 2025 Q3 2025 Q4 2025 Q1 2026 Total Employees 31,102 30,084 29,020 28,773 28,510 IT Professionals 29,022 28,097 27,123 26,906 26,702 North America Revenues % 55.5 54.1 53.8 53.8 53.5 Latin America Revenues % 19.6 19.7 19.9 21.1 20.5 Europe Revenues % 18.2 19.6 19.4 19.3 19.7 New Markets Revenues % 6.7 6.6 6.9 5.8 6.3 USD Revenues % 67.2 64.1 63.2 64.0 64.5 Other Currencies Revenues % 32.8 35.9 36.8 36.0 35.5 Top Customer % 8.8 8.6 8.7 8.5 8.9 Top 5 Customers % 20.0 20.3 20.7 20.5 21.1 Top 10 Customers % 29.1 29.3 29.5 29.4 30.5 Customers Served (Last Twelve Months)* 1,004 981 978 944 943 Customers with >$1M in Revenues (Last Twelve Months) 341 339 339 336 333 (*) Represents customers with more than $100,000 in revenues in the last twelve months. Investor Relations Contact: Arturo Langa, Globant investors@globant.com +1 (877) 215-5230 Media Contact: Gregorio Lascano, Globant pr@globant.com +1 (877) 215-5230 Source: Globant SOURCE GLOBANT All rights reserved Globant 2026 Contact Us Drop us a line hi@globant.com Follow Us Facebook Youtube X LinkedIn Instagram Subscribe to receive our news, insights and invitations to events * Required Fields * Email Privacy Policy Terms of Service Site Map Cookie Policy Cookie Preferences Vulnerability Disclosure Policy